2.4 Microfoundations: Actors and Incentives

The dynamics underlying why IOs choose to appease or sideline populists and their constituents are deeply rooted in a web of institutional, psychological, and strategic incentives. These microfoundations can be understood by examining the motivations and pressures faced by the key actors involved: populist leaders, IO leaders, IO bureaucrats, domestic publics, and nonpopulist leaders. By exploring these actors and their incentives, we can better grasp how and why IOs craft their responses to populist pressures.

2.4.1 Populist Leaders

Populist leaders are, at their core, politicians and thus prioritize staying in power. To achieve this, they must satisfy a range of stakeholders, from their voter base to influential elites and lobbying groups (Grossman and Helpman 1994). These competing demands create a balancing act, especially when it comes to populist leaders' relationship with IOs.

Populists derive much of their appeal from their anti-elite rhetoric, positioning themselves as champions of "the people" against perceived globalist elites. Publicly opposing IOs, which are often seen as bastions of elite power, serves as a potent signal of their commitment to this narrative. For populist leaders, taking high-profile stances against IOs—whether through fiery speeches, dramatic walkouts, or cutting off resources—reinforces their populist credentials and keeps their constituents engaged and energized.

However, populists must also grapple with the tangible benefits IOs provide. From economic assistance to security cooperation, IOs offer resources that can bolster a country's performance—a crucial metric for any leader's popularity. This creates a tension: While shunning IOs may please voters, failing to deliver on economic growth or national stability can erode public support.

Beyond their voter base, populists must also navigate the interests of domestic elites and lobbyists, who play a key role in shaping policies and funding campaigns. Many of these groups have stakes in the very policies IOs promote—such as infrastructure investments tied to aid packages or